recommended the establishment of a bank in Calcutta in which the government was to have the power of nominating the Directors and hold a large part of the share capital as well.

The Company, while objecting to the principle of government becoming a partner, acquiesced, and the Bank of Calcutta was set up on May 1, 1860, with a capital of ₹50 lakhs, one-fifth of which was contributed by the government. It received its charter in 1809 and became the Bank of Bengal. The Company contributed one-fifth of the capital and obtained the right to appoint three Directors. The bank was entrusted with government funds and its notes alone were recognized by government, but it was not entrusted with the remittance of revenues from the mofussil. Its charter was reviewed in 1823 when its note issue was revised to ₹2 crores and cash reserve requirements lowered to one-fourth of the outstanding liability. In 1839, it was allowed to open branches and to deal in inland but not foreign exchange.

The Bank of Bombay was established in 1840 with a share capital of ₹52.15 lakhs.[6] The Company held ₹3 lakhs. The Bank of Bombay was involved in the wild speculation of 1862–65 that followed the American Civil War and the rise in the price of cotton. It suffered serious losses and went into liquidation in 1868. Although the depositors were repaid fully, the shareholders lost nearly all their capital. However, almost immediately a new bank with the same name and a capital of ₹1 crore, (with ₹50 lakhs being paid-up), was formed. The Bank of Madras was incorporated in 1843 with a share capital of ₹30 lakhs. The Company, as in the case of the Bank of Bombay, held shares of ₹3 lakh.

Prior to 1862, the Presidency Banks were directly controlled by government and had to work within certain restrictions imposed on them by their charters. They enjoyed the valuable right of note issue. In 1862, they were deprived of this right although they continued to manage the new government note issue as agents of the government. As compensation, they were freed from many of the old restrictions on business, and were given the use and management of government balances. But the danger of such relaxation became evident when the Bank of Bombay failed. Negligence, incompetence, abuse of powers, and absence of sound legal advice all played a role, but as the Bank of Bombay Commission which inquired into